PROJECT TITAN: CONFIDENTIAL MERGER & ACQUISITION DUE DILIGENCE

SECTION 1: TRANSACTION VALUATION & STRUCTURE (PROJECT TITAN)

Project Titan comprises the planned statutory merger of Apex Software Systems Inc. The agreed enterprise valuation is one hundred and eighty-five million dollars ($185,000,000 USD), structured as seventy percent (70%) cash and thirty percent (30%) common equity.

SECTION 2: EXECUTIVE RETENTION & GOLDEN PARACHUTE PROVISIONS

Upon closing and change of corporate control, the Chief Executive Officer and Chief Operating Officer shall receive an immediate lump-sum cash severance payout of four million five hundred thousand dollars ($4,500,000 USD) each, accompanied by full acceleration of unvested equity options.

SECTION 3: REGULATORY ANTITRUST SCRUTINY & FTC FILING

Counsel advises that combined market concentration in the enterprise security niche triggers mandatory pre-merger notification under the Hart-Scott-Rodino (HSR) Antitrust Improvements Act. An extended Second Request review by the Federal Trade Commission is estimated at 35% probability.

SECTION 4: RESTRICTIVE COVENANTS FOR KEY SHAREHOLDERS

Principal selling shareholders holding greater than 5% equity must execute restrictive covenants prohibiting competition and solicitation across North America and the European Union for three (3) full years following the closing date.